

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 900

BY WAYS AND MEANS COMMITTEE

AN ACT

RELATING TO STATE AFFAIRS; AMENDING CHAPTER 57, TITLE 67, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 67-5775A, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING PRIVATE INSURANCE COVERAGE AND CLAIMS FOR STATE PROPERTY; AMENDING SECTION 67-1085, IDAHO CODE, TO REVISE PROVISIONS REGARDING REPORTING OF AGREEMENTS ENTERED INTO BY STATE OFFICERS OR STATE AGENCIES; AMENDING SECTION 74-105, IDAHO CODE, TO EXEMPT CERTAIN RECORDS FROM DISCLOSURE; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Chapter 57, Title 67, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW SECTION, to be known and designated as Section 67-5775A, Idaho Code, and to read as follows:

67-5775A. PRIVATE INSURANCE COVERAGE AND CLAIMS FOR STATE PROPERTY. (1) In the event of damage to or loss of state property that results in the state filing a formal claim with a private insurer, the following shall be completed prior to the state's acceptance of any settlement offer or payout for a property claim or damage exceeding one hundred thousand dollars (\$100,000):

(a) Procurement of law enforcement reports, surveillance footage, or eyewitness statements confirming any third-party liability, if applicable;

(b) Assessment of damages conducted by a state engineer, certified appraiser, or independent adjuster with valuations based on prevailing market replacement costs at the time of the loss, regardless of whether the state utilizes internal inventory or state-contracted pricing to effectuate the repair, including:

(i) All recoverable soft costs, including but not limited to architectural and engineering fees, project management oversight, specialized permit fees, and the cost of temporary relocation or bypass measures required to maintain state services during the repair period; and

(ii) All costs associated with ordinance or law requirements. If the repair of state property triggers a mandatory upgrade to meet current building, safety, or environmental codes, such costs shall be documented and included as a mandatory component of the claim.

(c) Review of the insurance policy limits and exclusions to ensure the state is pursuing the maximum possible recovery across all possible payout scenarios; and

(d) Verification that no other secondary insurance or bonds are available to cover the loss.

(2) After completing the requirements provided in subsection (1) of this section, the director shall provide a report of the findings to the affected agency director or administrator and any state board or commission with administrative authority over the affected agency. The report required in this section shall be exempt from disclosure as provided in section 74-105, Idaho Code. Legislators may review a copy of the report with the expectation that it shall remain confidential until a settlement is reached or the claim is otherwise closed.

(3) The affected agency shall have the right to perform or contract for an independent appraisal or engineering assessment of the damage to ensure the settlement is sufficient to restore the property to its prior utility and value.

(4) The director shall pursue the maximum possible recovery across all payout scenarios under the terms and conditions of all applicable private insurance policies.

(5) Following receipt of a proposed final settlement agreement from the insurance company, the director shall report such proposed settlement agreement to the state controller for publication as required in section 67-1085, Idaho Code, at least fourteen (14) days prior to accepting such settlement agreement. Upon acceptance of a final settlement agreement, the director shall notify the state controller if the accepted final settlement agreement differs from the proposed final settlement agreement and shall report the updated settlement agreement to the state controller for publication pursuant to section 67-1085, Idaho Code.

(6) No settlement agreement shall be finalized and no release shall be signed by the director without the written concurrence of the affected agency director, administrator, board, or commission confirming that the payout meets the maximum amount of funds available to the state. If the director and the affected agency cannot reach an agreement on the adequacy of a settlement agreement, the matter shall be referred to the state board of examiners for final determination.

(7) If acceptance of a settlement agreement creates conditions for other operational changes for an agency, including but not limited to the sale of the damaged property or the transfer of state activities to another location, then the affected agency shall hold a public hearing where:

- (a) The published agenda for the hearing shall include proposed operational changes;
- (b) The affected agency shall present the proposed operational changes and accept public comment; and
- (c) The affected agency shall notify the legislature of any operational changes adopted by the agency within seven (7) days of the decision.

SECTION 2. That Section 67-1085, Idaho Code, be, and the same is hereby amended to read as follows:

67-1085. AGREEMENTS ENTERED INTO BY ~~STATE OFFICERS OR STATE AGENCIES~~ -- REPORTING. (1) For purposes of this section, "state agency" means any state officer, department, division, bureau, or agency of the state of Idaho. ~~All state officers and departments, divisions, bureaus, and agencies of the state of Idaho~~ agencies shall report to the state controller any agreement entered into, including any memorandum of agreement or memorandum

1 of understanding, within ten (10) days of the state ~~officer or department,~~
 2 ~~division, bureau, or~~ agency entering into such agreement. The state con-
 3 troller shall store, maintain, and publish a current list of all such agree-
 4 ments, as provided in section 67-1001(20), Idaho Code. Agreements shall be
 5 reported pursuant to the provisions of section 67-1085A, Idaho Code.

6 (2) All state agencies shall report to the state controller any pro-
 7 posed final insurance settlement agreements entered into as provided in sec-
 8 tion 67-5775A, Idaho Code.

9 SECTION 3. That Section 74-105, Idaho Code, be, and the same is hereby
 10 amended to read as follows:

11 74-105. RECORDS EXEMPT FROM DISCLOSURE -- LAW ENFORCEMENT RECORDS,
 12 INVESTIGATORY RECORDS OF AGENCIES, EVACUATION AND EMERGENCY RESPONSE PLANS,
 13 WORKER'S COMPENSATION. The following records are exempt from disclosure:

14 (1) Investigatory records of a law enforcement agency as defined in
 15 section 74-101(7), Idaho Code, under the conditions set forth in section
 16 74-124, Idaho Code.

17 (2) Juvenile records of a person maintained pursuant to chapter 5,
 18 title 20, Idaho Code, except that facts contained in such records shall be
 19 furnished upon request in a manner determined by the court to persons and
 20 governmental and private agencies and institutions conducting pertinent
 21 research studies or having a legitimate interest in the protection, welfare
 22 and treatment of the juvenile who is thirteen (13) years of age or younger.
 23 If the juvenile is petitioned or charged with an offense that would be a
 24 criminal offense if committed by an adult, the name, offense of which the
 25 juvenile was petitioned or charged, and disposition of the court shall be
 26 subject to disclosure as provided in section 20-525, Idaho Code. Addi-
 27 tionally, facts contained in any records of a juvenile maintained pursuant
 28 to chapter 5, title 20, Idaho Code, shall be furnished upon request to any
 29 school district where the juvenile is enrolled or is seeking enrollment.

30 (3) Records of the custody review board of the Idaho department of ju-
 31 venile corrections, including records containing the names, addresses and
 32 written statements of victims and family members of juveniles, shall be ex-
 33 empt from public disclosure pursuant to section 20-533A, Idaho Code.

34 (4) (a) The following records of the department of correction:

35 (i) Records of which the public interest in confidentiality, pub-
 36 lic safety, security and habilitation clearly outweighs the pub-
 37 lic interest in disclosure as identified pursuant to the authority
 38 of the state board of correction under section 20-212, Idaho Code;

39 (ii) Records that contain any identifying information or any in-
 40 formation that would lead to the identification of any victims or
 41 witnesses;

42 (iii) Records that reflect future transportation or movement of a
 43 prisoner;

44 (iv) Records gathered during the course of the presentence inves-
 45 tigation; and

46 (v) Records of a prisoner as defined in section 74-101(10), Idaho
 47 Code, or probationer shall not be disclosed to any other prisoner
 48 or probationer.

1 (b) Records, other than public expenditure records, related to pro-
2 posed or existing critical infrastructure held by or in the custody
3 of any public agency only when the disclosure of such information is
4 reasonably likely to jeopardize the safety of persons, property or the
5 public safety. Such records may include emergency evacuation, escape
6 or other emergency response plans, vulnerability assessments, oper-
7 ation and security manuals, plans, blueprints or security codes. For
8 purposes of this paragraph, "system" includes electrical, computer
9 and telecommunications systems, electric power (including produc-
10 tion, generating, transportation, transmission and distribution), and
11 heating, ventilation, and air conditioning. For purposes of this sub-
12 section, "critical infrastructure" means any system or asset, whether
13 physical or virtual, so vital to the state of Idaho, including its po-
14 litical subdivisions, that the incapacity or destruction of such system
15 or asset would have a debilitating impact on state or national economic
16 security, state or national public health or safety, or any combination
17 of those matters.

18 (c) Records of the Idaho commission of pardons and parole shall be ex-
19 empt from public disclosure pursuant to sections 20-1003 and 20-1005,
20 Idaho Code. Records exempt from disclosure shall also include those
21 containing the names, addresses and written statements of victims.

22 (5) Voting records of the former sexual offender classification board.
23 The written record of the vote to classify an offender as a violent sexual
24 predator by each board member in each case reviewed by that board member
25 shall be exempt from disclosure to the public and shall be made available
26 upon request only to the governor, the chairman of the senate judiciary and
27 rules committee, and the chairman of the house of representatives judiciary,
28 rules and administration committee for all lawful purposes.

29 (6) Records of the sheriff or Idaho state police received or maintained
30 pursuant to sections 18-3302, 18-3302H and 18-3302K, Idaho Code, relating
31 to an applicant or licensee, except that any law enforcement officer and law
32 enforcement agency, whether inside or outside the state of Idaho, may access
33 information maintained in the license record system as set forth in section
34 18-3302K(16), Idaho Code.

35 (7) Records of investigations prepared by the department of health and
36 welfare pursuant to its statutory responsibilities dealing with the protec-
37 tion of children, the rehabilitation of youth, adoptions and the commitment
38 of mentally ill persons. For reasons of health and safety, best interests of
39 the child or public interest, the department of health and welfare may pro-
40 vide for the disclosure of records of investigations associated with actions
41 pursuant to the provisions of chapter 16, title 16, Idaho Code, prepared by
42 the department of health and welfare pursuant to its statutory responsibil-
43 ities dealing with the protection of children, except any such records re-
44 garding adoptions shall remain exempt from disclosure.

45 (8) Records, including but not limited to investigative reports, re-
46 sulting from investigations conducted into complaints of discrimination
47 made to the Idaho human rights commission, unless the public interest in
48 allowing inspection and copying of such records outweighs the legitimate
49 public or private interest in maintaining confidentiality of such records.
50 A person may inspect and copy documents from an investigative file to which

1 he or she is a named party if such documents are not otherwise prohibited from
2 disclosure by federal law or regulation or state law. The confidentiality of
3 this subsection will no longer apply to any record used in any judicial pro-
4 ceeding brought by a named party to the complaint or investigation, or by the
5 Idaho human rights commission, relating to the complaint of discrimination.

6 (9) Records containing information obtained by the manager of the Idaho
7 state insurance fund pursuant to chapter 9, title 72, Idaho Code, from or on
8 behalf of employers or employees contained in underwriting and claims for
9 benefits files.

10 (10) The worker's compensation records of the Idaho industrial commis-
11 sion, provided that the industrial commission shall make such records avail-
12 able:

13 (a) To the parties in any worker's compensation claim and to the indus-
14 trial special indemnity fund of the state of Idaho; or

15 (b) To employers and prospective employers subject to the provisions of
16 the Americans with disabilities act, 42 U.S.C. 12112, or other statu-
17 tory limitations, who certify that the information is being requested
18 with respect to a worker to whom the employer has extended an offer of
19 employment and will be used in accordance with the provisions of the
20 Americans with disabilities act, 42 U.S.C. 12112, or other statutory
21 limitations; or

22 (c) To employers and prospective employers not subject to the provi-
23 sions of the Americans with disabilities act, 42 U.S.C. 12112, or other
24 statutory limitations, provided the employer presents a written autho-
25 rization from the person to whom the records pertain; or

26 (d) To others who demonstrate that the public interest in allowing in-
27 spection and copying of such records outweighs the public or private in-
28 terest in maintaining the confidentiality of such records, as deter-
29 mined by a civil court of competent jurisdiction; or

30 (e) Although a claimant's records maintained by the industrial commis-
31 sion, including medical and rehabilitation records, are otherwise ex-
32 empt from public disclosure, the quoting or discussing of medical or re-
33 habilitation records contained in the industrial commission's records
34 during a hearing for compensation or in a written decision issued by the
35 industrial commission shall be permitted; provided further, the true
36 identification of the parties shall not be exempt from public disclo-
37 sure in any written decision issued and released to the public by the in-
38 dustrial commission.

39 (11) Records of investigations compiled by the commission on aging in-
40 volving vulnerable adults as defined in section 18-1505, Idaho Code, alleged
41 to be abused, neglected or exploited.

42 (12) Criminal history records and fingerprints as defined in section
43 67-3001, Idaho Code, and compiled by the Idaho state police. Such records
44 shall be released only in accordance with chapter 30, title 67, Idaho Code.

45 (13) Records furnished or obtained pursuant to section 41-1019, Idaho
46 Code, regarding termination of an appointment, employment, contract or
47 other insurance business relationship between an insurer and a producer.

48 (14) Records of a prisoner or former prisoner in the custody of any state
49 or local correctional facility, when the request is made by another prisoner
50 in the custody of any state or local correctional facility.

1 (15) Except as provided in section 72-1007, Idaho Code, records of the
2 Idaho industrial commission relating to compensation for crime victims pur-
3 suant to chapter 10, title 72, Idaho Code.

4 (16) Records or information identifying a complainant maintained by the
5 department of health and welfare pursuant to section 39-3556, Idaho Code,
6 relating to certified family homes, unless the complainant consents in writ-
7 ing to the disclosure or the disclosure of the complainant's identity is re-
8 quired in any administrative or judicial proceeding.

9 (17) Records of any certification or notification required by federal
10 law to be made in connection with the acquisition or transfer of a firearm,
11 including a firearm as defined in 26 U.S.C. 5845(a).

12 (18) Records of the office of the state public defender and the office of
13 the state appellate public defender containing information protected or ex-
14 empted from disclosure under the rules adopted by the Idaho supreme court,
15 attorney work product, attorney-client privileged communication, records
16 containing confidential information from an individual about his criminal
17 case or performance of his attorney, or confidential information about an
18 inquiry into an attorney's fitness to represent indigent defendants.

19 (19) Records and information received by the office of the state con-
20 troller from any local government, state agency and department, or volunteer
21 nongovernmental entity for purposes of entry into the criminal justice
22 integrated data system pursuant to section 19-4803, Idaho Code, and all
23 records created by persons authorized to research and analyze information
24 entered into the criminal justice integrated data system, regardless of
25 whether such records were previously exempted from disclosure or redacted
26 pursuant to state or federal law or court order. This exemption does not
27 apply to projects, reports, and data analyses approved for release by the
28 data oversight council and issued by persons authorized to conduct research
29 and analysis as set forth in chapter 48, title 19, Idaho Code. Records and
30 information relating to the management of the criminal justice integrated
31 data system shall not be exempt from disclosure except as otherwise provided
32 in law.

33 (20) Records that contain any identifying information or any informa-
34 tion that could lead to the identification of any persons or entities that
35 participate in or assist with an execution of a death sentence as described
36 in section 19-2716A, Idaho Code.

37 (21) Records, other than public expenditure records, relating to
38 the nature, location, or function of cybersecurity devices, programs, or
39 systems designed to protect computer, information technology, or communica-
40 tions systems against terrorist or other attacks.

41 (22) Any index, report, or records of any person arrested for, prose-
42 cuted for, or convicted of a crime in this state who has successfully peti-
43 tioned a court to have his records shielded from disclosure pursuant to sec-
44 tion 67-3004(11), Idaho Code.

45 (23) Any record of an unlawful detainer under section 6-303, Idaho Code,
46 if shielded by the court pursuant to section 6-303A, Idaho Code.

47 (24) The report required in section 67-5775A, Idaho Code, until a set-
48 tlement is reached or the claim is otherwise closed.

1 SECTION 4. An emergency existing therefor, which emergency is hereby
2 declared to exist, this act shall be in full force and effect on and after
3 July 1, 2026.